# *EG Letter from Cliff Kupchan: High expectations in Beijing challenge stable US-China relations*

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【メール原文】

Letter from Cliff Kupchan

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High expectations in Beijing challenge stable US-China relations

* US-China relations have entered a period of “constructive strategic stability” and ties are strong.

* China’s expectations for the relationship are very high, and some US policies will disappoint Beijing.

* Leaders in China object to unilateral US policies in Iran and Venezuela but will not push back.

I just spent 10 days in Beijing, where I met with top Chinese officials, gave a talk at Renmin University, and participated in the World Peace Forum—an annual meeting attended by the Chinese security establishment.

Interlocutors in Beijing stressed that the summit in May between President Donald Trump and President Xi Jinping produced a promising new framework for US-China relations. The sides agreed to the frame of “constructive strategic stability.” The latter two words came from the US, while China added the word “constructive.” Chinese elites view ties as unexpectedly close. One top official recounted how Trump at the state dinner successfully sent a message that business ties were important to him by waving over a stream of executives to meet Xi. Most interlocutors expected close ties to last at least through either the end of 2027 or 2028; those stressing the earlier date thought US and Taiwanese elections would destabilize relations before the end of Trump’s term.

Analysts stated that the foundation of the relationship was still the concept of “mutual assured disruption” which stressed that both sides have learned that the other can significantly disrupt their economic and political-military goals in the region. The standoff dates from the London agreement of June 2025, when the US agreed to reduce tariffs in exchange for a Chinese commitment to open flows of critical minerals. That tradeoff was renewed for a year at the leaders’ meeting in Busan in October.

The recent summit highlighted areas of cooperation and created three new mechanisms. In addition to existing cooperation on fentanyl and busting scam operations, the Beijing meeting created a Board of Trade, Board of Investment, and a new AI working group. The trade mechanism is the most fleshed out; according to Chinese officials, it will initially focus on keeping tariffs as low as possible and devising deliverables for the planned September summit meeting in Washington. The investment mechanism is still at a preliminary phase in which the sides are deciding on the body’s mandate. Chinese officials state that the group will not consider investments that are clearly strategic and unlikely to be acceptable to one of the sides. The task ahead is to determine which specific areas of investment are in scope.

Senior officials stated that the AI working group, arguably the most important new body in my view, is the least developed. They have not yet decided which ministries will participate. Regarding military-to-military ties, officials said they remain at a low level--which the US side views as insufficient, arguing that more senior officials should be involved. Apparently even the hotline isn't really "hot;" the side receiving a communication has 72 hours to respond. For what it's worth, I was granted a rare meeting at the Academy of Military Sciences with eight uniformed PLA officers—where I heard a measured but hardline view of international relations.

China's supply of critical minerals to the US is an opaque part of the relationship which is on solid footing for now but which could become an area of discord. Very senior Chinese leaders told me that they are living up to their commitments. And China's supply of critical minerals is satisfactory according to US officials. While companies report delays, minerals and magnets that Beijing has agreed to supply appear to be flowing. Chinese officials state that they are still not granting licenses to US military end-users and are still limiting licenses for minerals placed under an export control regime in February of 2025--Tungsten, Tellurium, Bismuth, Molybdenum, and Indium.

The arena that is most prone to misunderstanding pertains to a list of heavy rare earth metals that Beijing placed under export controls and reduced flows shortly after "Liberation Day" in April but then agreed to supply two months later in London. The list includes dysprosium and terbium, dual use metals that are important for magnets for autos and other civilian sectors. Well-informed sources told me that China is withholding these metals and magnets that contain them. I pressed very senior officials on the matter, and they assured me that China was delivering supplies. Beijing appears to be supplying mainly finished magnets with dysprosium and terbium in them, but not the pure metals, to capture the value chain and impair US efforts to make the magnets domestically. Keep an eye on this matter as press coverage could lead to a backlash in the US.

But the greatest single threat to US-China relations is high expectations in Beijing. One hawkish Chinese analyst called the recent meeting the "best summit in 10 years." Another said that "Trump is god's gift to China." Hyperbole aside, the Chinese side was extremely high on the meeting. Interlocutors said that they have been looking for a concrete framework for the relationship for years and that they finally got one. But it's worrisome that the Chinese are very encouraged by Trump's comments on Taiwan during and after the summit. The president appeared willing to negotiate the size of arms sales to Taiwan and move toward a PRC-friendly formulation opposing Taiwan's independence.

President Trump has been criticized for going too far on Taiwan, and his comments may not stick. Regardless, arms sales of some size will likely move forward later this year and the US will probably announce new export controls, leading to disappointment in Beijing That will lead to another cycle in which China hits back with additional restrictions on US firms. These outcomes will inevitably lead to disappointment in Beijing, though probably not enough to bring down the new framing around stability.

Turning to the war in Iran and US foreign policy more broadly, these issues won't disrupt the relationship. Officials and analysts made clear that while US unilateralism was of concern, there was little China could do about it. Interlocutors held that Iran was not that close of an ally (it buys most of its weapons from Russia) and that China's interest was in focusing on supply chain integrity and "keeping our head down." I generally got a shrug when expressing the view that Cuba is next.

Two flashpoints not involving the US regularly came up—China-EU and China-Japan. Regarding the former, Chinese elites saw an almost inevitable showdown involving punitive Chinese actions this autumn. Elites in Beijing believe Brussels doesn't hold the cards, that the cause of the yawning trade deficit is Europe's lack of competitiveness, not Chinese subsidies. One analyst suggested that allowing more Chinese investment in the EU might break the ice. But I heard numerous times that China would have to resort to more restrictions on the flow of critical minerals and other coercive measures.

So too on Japan, Chinese elites believe they have been wronged. Prime Minister Takaichi Sanae's remarks last November that a US-China war over Taiwan would draw in Japan is still seen as a severe violation of norms that has rekindled fears of militarism. Here, Beijing's reaction is puzzlingly fierce and involves an intractable demand of an apology. The Japanese PM has all but apologized, but holds that an outright retraction isn't possible because her statement was accurate. This relationship will probably remain frozen for as long as Takaichi is in the job.

Finally, a quizzical Chinese policy that kept coming up. Early on, I repeatedly got the question of whether anyone in DC is concerned about the national debt. I always replied "not really" and things moved on. But after several days, it became apparent that Chinese elites are thinking about their own debt. Officials and analysts said that the government is focused on sharply reducing regional government debt by the end of 2028. Regional bureaucrats are being told to prioritize debt reduction over growth. The central government will look to wealthy regions to cushion the hit to national growth rates. It's probably good policy if it sticks.

Please be in touch with any thoughts or questions,

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